

On May 3, 2026, at 1:47 PM, Howard Berglas wrote:

Hi David,

At one of my office locations, I share space with a tax boutique law office that has as one of its specialties Tax and Life Insurance Products.

About a week ago, they advised me that there is an active project at the CRA to review IFAs.

Proposed assessments have started to come in with the following assessing positions:

1. Denial of Expenses (NCPI and Interest), reduction of Cost basis (Policy **and assets acquired with the borrowed funds**) on the basis that the policy was an unregistered Tax shelter. The reassessments are being applied to the date of purchase for the policy.
2. Where the insurance was owned corporately, and the funds were borrowed personally, they are arguing that it is a surplus strip and that GAAR should be applied.
3. GAAR should be applied even if not a surplus strip.

The argument as to why it is a tax shelter revolves around their position that the borrowings are limited recourse amounts.

Whether they are correct will turn on how much was borrowed against the premium, how much interest and NCPI was deducted and as to whether the Loans are in fact Limited Recourse Amounts.

Regards,

P.S. The CRA is also starting an extensive audit of all the flow-through share transactions that were registered as tax shelters (i.e. Donation Deals and Partnership loss harvesting).

Howard Berglas, CPA, BComm.
President
Ber Tov Capital Corporation
970 Lawrence Avenue West
Suite 904, Toronto, ON M6A 3B6
(O) 905-944-1008
(C) 416-890-1002